

ring true. The last time anybody present at the party had seen a bull run of such ferocity was during the peak of Harshad Mehta's powers in 1992, when ACC had touched a dizzying Rs 10,000 per share, throwing every conventional method of valuation out of the window.

Deep in their hearts, many knew the current round of madness was likely to end in grief for a lot of investors, as had every other bull market in the past. There was nothing like an orderly unwinding of a bull market, much as traders and investors would have loved it.

After everybody had downed a few pegs, our host cracked some witty but risqué remarks for which he was known.

One broker said he was waiting for a particular stock to make a double bottom on the price chart before he bought it. Double bottom is when a stock price falls very low, rises briefly, again falls to that earlier low, and again rises. This is an indication that the stock is unlikely to slip below that low price in the future.

'Double bottom?,' the operator asked the broker: 'My suggestion to you is that you install mirrors in front of and behind your commode. Whenever you sit there you can see as many bottoms as you want.' He had all of us in splits.

He then tried to take the discussion to an intellectual level. He launched into a monologue on sub-prime loans and the trouble brewing in the banking sphere of the developed world. He was well read (too well read for a market operator, I sometimes thought) and clued into the trends in global markets, but he was not on firm ground when it came to the complexities of sub-prime mortgages and its derivative products. Of course, barring the analysts who created those funny products, nobody had a clue as to what exactly they were about, or what risks they posed to financial markets. Like most of us present, he too knew what the basic problem was – too many people in the US having borrowed money beyond their means to buy homes. The banks that had recklessly lent to them had repackaged these loans as derivatives and sold them off to investors chasing higher returns. If house prices fell more steadily than anticipated, there would be widespread defaults on the loans, which would affect the entire chain.

'Something is not right about this sub-prime . . . you see, there could be trouble . . . in fact, this could be the trigger for a big market correction,' he kept repeating, trying to sound as convincing as he could, yet unable to